

THE INVEST*igator*

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SWAP CONSULTANTS PVT. LTD.

WISHES ALL ITS INVESTORS

A VERY HAPPY & PROSPEROUS NEW YEAR 2020

2019 : NARROW RALLY

Only 10 Nifty stocks added 1437 points in 2019

Top Nifty Contributors in 2019

COMPANY NAME	CONTRIBUTION IN POINTS	YEAR TO DATE GROWTH
Reliance Industries	347	42.60%
ICICI Bank	293	51.60%
HDFC Bank	177	22.20%
HDFC Ltd	148	22.10%
Kotak Bank	126	34.70%
Bharti Airtel	87	58.20%
Bajaj Finance	87	56.30%
TCS	70	17.40%
Axis Bank	52	19.30%
Infosys	50	11.10%

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SYSTEMATIC WITHDRAWAL PLAN [SWP]

Systematic Withdrawal Plan is the best option for regular monthly income. Although past performance does not guarantee future performance, the below given examples of SWP show that the SWP investor is a happy investor.

Please note that only Multicap Funds have been considered for the purpose of example.

Date of investment : 05.06.2014 [after election results]

Amount of Investment : Rs 300000

Commencement of SWP : 10.07.2015 [LTG after 12 months]

Amount of SWP : Rs 2500 per month [@ 10% p.a.]

FUND	NO. OF INSTMNTS	AMOUNT WITHDRAWN	CURRENT VALUE	RETURN
ABSL EQUITY FUND	54	135000	392817	14.87%
CANROBECO EQ DIV FUND	54	135000	334816	11.95%
DSP EQUITY FUND	54	135000	366450	13.60%
HDFC EQUITY FUND	54	135000	311117	10.64%
ICICI PRU MULTICAP	54	135000	368426	13.69%
IDFC MULTICAP FUND	54	135000	377930	11.69%
KOTAK STD MULTICAP	54	135000	446432	17.25%
MOTILAL OSW MULTICAP 35	54	135000	553030	21.32%
NIPPON IND MULTICAP	54	135000	326399	11.50%
SBI MAG MULTICAP	54	135000	452301	17.49%

You don't make money when you buy stocks. You don't make money when you sell stocks. You make money by waiting."

-MohnishPabrai, Founder and Managing Partner of Pabrai Investment Fund

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5 basic terms to know about debt funds

Investing in a debt fund is quite different from buying a bond and holding it till maturity. In such instances, you won't lose your principal unless the bond issuer defaults. When you invest in a bond fund, however, the value of your investment fluctuates. Here we tell you what terms to be aware of before you invest in a debt fund.

1) Coupon rate

A bond's coupon is the annual interest rate paid by the issuer of the bond. It can be paid out quarterly, semi-annually or annually on individual bonds. The coupon is always tied to a bond's face value.

Bonds that don't make regular interest payments are called zero-coupon bonds, which means they pay no interest. Investors buy such bonds at a discount to the face value of the bond and are paid the face value when the bond matures.

2) Yield

Yield differs from the coupon rate. Let's say a bond has a face value of Rs 100 with an 8% coupon rate. This means that the investor will earn Rs 8 per annum on each bond he invests in.

Once the bond is issued, however, it trades in the open market – meaning that its price will fluctuate each business day for its entire life. As interest rates in the economy rise and fall and demand for the bonds moves up and down, it will impact the price of the bond.

Let's assume interest rates rise to 10%. Even so, the investor will continue to earn Rs 8. That is fixed and will not change. So to increase the yield to 10%, which is the current market rate of interest, the price of the bond will have to drop to Rs 80.

Now let's say interest rates fall to 6%. Again, the investor will continue to earn Rs 8. This time the price of the bond will have to go up to Rs 133.

There are two aspects to note from this. One is that the yield is not fixed but fluctuates to changes in the interest rate. Secondly, the price of the bond moves inversely to interest rates. It moves to maintain a level where it will attract buyers.

3) Yield to Maturity

The YTM of a debt fund portfolio is the rate of return an investor could expect if all the securities in the portfolio are held until maturity. For instance, if a debt fund has a YTM of 10%, it means that if the portfolio remains constant until all the holdings mature, then the return to the investor would be 10%. However, the YTM does not remain constant as the portfolios are actively managed by the fund manager.

It broadly indicates to the investor the kind of returns could be expected. But it is not a definite indicator since returns may vary due to mark-to-market valuations or changes in the portfolio.

4) Modified Duration

As explained in the second point, bond prices and interest rates are inversely related. This means, if there is a rise in interest rates then there is a fall in the price of the bond. If there is a fall in interest rates, then the price of bond will rise.

MD is simply the change in the value a debt security in response to the change in interest rates. So let's say the MD of the bond is 4.50. What this indicates is that the price of the bond will decrease by 4.50% with a 1% (100 basis point, or bps) increase in interest rates.

This provides a fair indication of a bond’s sensitivity to a change in interest rates. The higher the duration, the more volatility the bond exhibits with a change in interest rates. Since modified duration of a portfolio takes into account all the debt instruments, it will change with regard to the composition of the portfolio.

5) Weighted Average Maturity

This is more commonly referred to as the average maturity of a debt fund. It is the average time it takes for securities in the portfolio to mature, weighted in proportion to the amount invested.

Eg: Rs 1,000 invested in Bond A matures in 5 years

Rs 2,000 invested in Bond B matures in 10 years

Total investment in debt portfolio = Rs 3,000 WAM = (1000/3000)*5 + (2000/3000)*10 = 8.33 years

Average maturity indicates the sensitivity of the portfolio to interest rate changes. The higher the average maturity, the greater is the volatility of returns in the fund. This is seen in debt funds with longer investment horizons. On the other hand, average maturities in liquid funds have been restricted to 90 days while ultrashort funds could go higher but are usually less than a year, making them less volatile to interest rate movements.

The average maturity of a scheme gives you a broad guideline in terms of finding a debt fund suitable for the time horizon of your investment.

Aarti Drugs (Rs. 595/-)

STOCK WATCH

Heidelberg Cement (Rs. 174/-)



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